

Setting Goals for Your Money

High-achieving, proactive people set goals in every area of their lives. That includes setting goals for their health, spiritual growth, career, relationships, education, and, of course, finances, just to name a few. While I want you to excel in every part of your life, the focus of this book is to set you on the path to achieving millionaire status. With that in mind, let's focus the rest of this goal-setting discussion on your *financial* goals. Sure, you can apply the following tips to other goals, but I'm going to frame them in terms of your money. If you've never set clear goals for your money before, it's your time to start.

Dave Ramsey's book *The Total Money Makeover* outlines seven crystal-clear financial milestones that should be at the heart of any successful financial plan. If you aren't familiar with Dave's 7 Baby Steps, here's a quick review:

1. Baby Step 1: Save \$1,000 for your starter emergency fund.
2. Baby Step 2: Pay off all debt (except the house) using the debt snowball.
3. Baby Step 3: Save 3–6 months of expenses in a fully funded emergency fund.
4. Baby Step 4: Invest 15% of your household income in retirement.
5. Baby Step 5: Save for your children's college fund.
6. Baby Step 6: Pay off your home early.
7. Baby Step 7: Build wealth and give.

I love that Dave's Baby Steps provide several sequential financial goals. When you follow the plan, you know exactly what step you're working on and what comes next.